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Tencent Holdings (0700.HK)

Hy4 Official Release Unlocks Productivity Scenarios & Introduces Vision Understanding

CITI'S TAKE

We believe the release of Hy4 official version with key upgrades including first-time visual understanding, stronger instruction-following, improved long-context reasoning, enhanced agentic tool-calling capabilities marks an important step forward in closing the gap with frontier models and better positions Tencent as an agentic AI platform capable of handling complex enterprise workflows. With new computer-use capability trained on professional applications like Blender and CAD, Hy4 is prepared to execute long-horizon, multi-step tasks. This enhanced capability reinforces the AI-driven Workspace strategy highlighted at the Tencent Global Digital Ecosystem Summit last week. We view the latest model version as strong support for our belief that Tencent is steadily establishing itself as a prominent foundation model developer while strengthening its enterprise AI positioning and workplace productivity moat. Reiterate Buy and TP of HK$755.

Buy	
Price (04 Nov 26 16:10)	HK$401.60
Target price	HK$755.00
Expected share price return	88.0%
Expected dividend yield	1.4%
Expected total return	89.4%
Market Cap	HK$3,651,606M US$465,362M

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Hy4 official release - On Nov 4, Tencent officially released Hy4 official version featuring comprehensive enhancement in model capabilities at SOTA level within open-source models. Comparing to Hy4 Preview, Hy4 demonstrates extended pre-training and post-training scale, driving significant improvement spanning instruct follow, long-context understanding, long-horizon tasks, deep research and introducing vision understanding for the first time. Hy4 is accessible via Tencent Cloud and OpenRouter, as well as native products like CodeBuddy, WorkBuddy, Yuanbao, and ima. Pricing remains unchanged at Rmb6/18 per M input/output tokens, with open model weights planned soon.

Unlocking sustained productivity by Hy4 - Tencent shared more productivity scenarios achieved by Hy4 leveraging its foundation capability improvement and deepened partnership with Tencent's product matrix:

1. **Vision and computer tasks:** By introducing vision understanding, Hy4 combines sensation, inference and tool deployment for granular image processing, complex chart analysis and math vision reasoning. Hy4 also flexibly combines command line (CLI) and graphics user interface (GUI) and optimizes training for professional software such as Blender and CAD.

2. **Frontend design & game development:** With its vision enhancement, Hy4 demonstrates stronger capabilities in frontend design and game development capabilities particularly with optimization in complex interactions, business models, status management and frontend and backend collaboration. Hy also partnered with professional game

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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developers from Tencent IEG department to optimize data and assessment quality which supports high compatibility with mainstream game engines such as UE, Unity and Godot. Hy4 also demonstrates early capabilities for multi-player game development.

3. **Finance & office:** Hy4 built thousands of workspaces and tens of thousands of quality tasks based on real finance scenarios that enable Hy4 to study and learn fund research, security analysis, quantitative strategies, asset allocation, corporate finance, tax and accounting. In expert evaluations conducted with 213 Tencent FiT and external specialists, Hy4 outperformed peer open-source models including Kimi K3.1 Pro, GLM-5.3, and DeepSeek-V4.1-Flash-1017. Hy4 conducts search optimization targeting time-sensitive queries, multi-source information integration and factchecking to strengthen finance and office productivity and reduce hallucination. On office scenario, Hy4 further strengthens human-AI collaboration supporting real-time edits on Word, Excel, PPT.

4. **Scientific research and model development:** Hy4 combines complex reasoning, scientific programming and long-horizon tasks to improve end-to-end scientific projects especially for math structure, physical modelling, global environment, system engineering and social economics decisions. Hy4 further optimizes pre-training infra for internal smaller models to improve end-to-end training throughput by 20.1% and automatically train better Jev models, paving the path towards recursive self-improvement (RSI).

5. **Long-horizon personal assistant:** A stronger context capability for Hy4 supports connection with chat history, mailbox, document, schedule and meetings through WorkBuddy. Hy4 demonstrates clear understanding to multiple task progresses and updates, identifies to-do tasks and reminds users based on task priorities. A new team collaboration function supported by Hy4 is available on WorkBuddy.

Future plans and Hy4 Flash coming soon - Tencent acknowledged there remains a gap with global frontier models despite achieving SOTA among open-source models. Tencent will continue to drive Hy4 development responsibly to enhance frontier math, long-horizon development, model iteration and vision queries by extending pre-/post-training scale to further narrow the gap. Tencent also plans to release Hy4 Flash in near-term with higher cost-effectiveness and inference speed for high frequency and product collaboration use cases.

Figure 1. Hy4 official benchmark comparison

Benchmarks	Hy4	Hy4 Preview	GLM 5.3	DeepSeek V4.1 Flash 1017	Kimi K3.1 Pro
ProgramBench (almost solved) *	30.0	17.5	18.0	29.0	24.5
FrontierCode 2.0 *	31.0	-	21.6	28.5	25.5
3DArena-Modeling (internal)	37.1	23.4	23.0	32.3	36.1
Terminal Bench 4.0	44.4	26.3	42.9	40.0	66.8
Agents' Last Exam v1.1 *	41.0	-	26.2	35.3	43.4
AutomationBench v1.0.6	56.2	36.3	54.1	54.3	65.6
E-Bench 2.0 (internal)	70.0	58.8	50.3	66.8	50.0
Hy-BrowseComp 2.0 (internal)	59.9	53.7	49.3	55.1	59.3
PostTrainBench v1.2 *	35.2	31.8	31.6	29.4	36.2
Terminal Bench Science 0.1	19.8	-	10.0	13.7	41.7
TenureTrail (internal) *	53.6	46.8	46.0	50.1	51.3
OSWorld 2.1	78.9	-	-	68.4	79.6

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Source: Company Reports, Citi Research, Note: * for benchmarks only evaluated for the first time upon release

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Tencent Holdings

Valuation

Our target price of HK$755 is based on a SOTP approach, which implies 22.8x 2026E and ~23.4x 2027E P/E. Our SOTP is based on the following: 1) Online games – We apply a 12x P/E to our 2027 estimated games net profit of Rmb130bn and yield a valuation of HK$189 per share, or 25% of our target price; 2) Online advertising – We apply a 20x P/E to our 2027 estimated ads profit of Rmb85bn which yields a valuation of HK$205 per share, or 27% of our target price; 3) Social network – While we attribute the non-gaming revs (community platform revs) as overall social network revs, given the WeChat, QQ, and other Tencent apps, we apply a 25x P/E to the estimated profit of Rmb59bn and yield a valuation of HK$177 per share, or 23% of our target price; 4) Fintech – We apply a 15x P/E to our estimated profit of Rmb48bn and yield a valuation of HK$88 per share, or 12% of our target price; 5) Cloud/business services – We apply a 5x P/S (average of China peers) to our 2027 estimated Business services revs of Rmb76bn, which yields a valuation of HK$46 per share, or 6% of our target price; 6) Investment portfolio – We apply a 30% discount to the equity stake in the publicly listed investment portfolio which implies HK$51/share.

Risks

Downside risks that could prevent the Tencent shares from reaching our target price include: i) a faster-than-expected revenue slowdown in core PC games; ii) unsuccessful launches of new mobile games; iii) a decline of Honor of Kings ranking and momentum; iv) a further slowdown in China's economy, which might negatively affect advertising demand; and v) a change in the regulatory environment.

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Appendix A-1

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Ratings and Target Price History
Fundamental Research

Analyst: Alicia Yap, CFA



	Date	Rating	Target Price	Closing Price
1	15-Nov-23 18:02:07	1	*497.00	322.60
2	25-Jan-24 16:53:37	1	*455.00	290.80
3	20-Mar-24 17:30:22	1	*459.00	288.80
4	15-May-24 11:33:19	1	*515.00	381.80
5	14-Aug-24 16:25:06	1	*527.00	373.80
6	29-Sep-24 20:19:06	1	*535.00	437.80
7	10-Oct-24 13:59:11	1	*573.00	438.80
8	13-Jan-25 15:52:08	1	*563.00	366.00

	Date	Rating	Target Price	Closing Price
9	26-Feb-25 16:59:25	1	*648.00	501.50
10	19-Mar-25 19:00:37	1	*681.00	540.00
11	28-Apr-25 16:14:07	1	*670.00	478.20
12	14-May-25 17:10:11	1	*695.00	521.00
13	28-Jul-25 17:17:28	1	*699.00	555.50
14	13-Aug-25 17:51:56	1	*735.00	586.00
15	13-Nov-25 18:35:44	1	*751.00	656.00
16	22-Jan-26 17:55:08	1	*783.00	597.50

	Date	Rating	Target Price	Closing Price
17	18-Mar-26 18:21:03	1	*787.00	550.50
18	19-Apr-26 21:30:13	1	*783.00	510.50
19	13-May-26 17:53:36	1	*763.00	462.60
20	07-Jul-26 11:45:27	1	*758.00	461.20
21	12-Aug-26 16:50:59	1	*765.00	461.60
22	06-Oct-26 18:29:02	1	*755.00	428.20

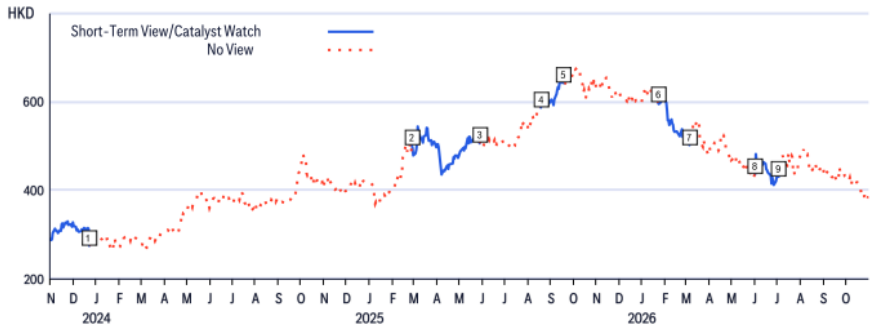
*Indicates Change

Rating/target price changes above reflect Eastern Time

Tencent Holdings (0700.HK)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	26-Dec-23 22:12:21	Remove CW	Upside	90 Days	274.00
2	26-Feb-25 11:59:25	Add CW	Upside	90 Days	501.50
3	28-May-25 00:26:38	Remove CW	Upside	90 Days	506.00

	Date	Action	Expected Direction	Duration	Closing Price
4	18-Aug-25 01:44:53	Add STV	Upside	30 Days	587.00
5	18-Sep-25 00:18:16	Remove STV	Upside	30 Days	642.00
6	22-Jan-26 12:55:08	Add CW	Upside	90 Days	597.50

	Date	Action	Expected Direction	Duration	Closing Price
7	05-Mar-26 02:14:38	Remove CW	Upside	90 Days	502.00
8	01-Jun-26 23:03:49	Add STV	Upside	30 Days	436.00
9	03-Jul-26 00:35:15	Remove STV	Upside	30 Days	431.20

CW - Catalyst Watch , STV - Short-Term View

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